

Research & Development Tax Credit Study -- Tax Year 2023

IRC Section: 41 | Credit Claimed: \$287M | Study Prepared By: AMEX Tax / EY Advisory

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1. Qualified Research Activities

American Express claimed \$287M in IRC Section 41 Research & Development tax credits for tax year 2023. The credits relate to qualified research expenditures (QREs) of \$3.2B incurred across technology development activities including: (a) AI/ML model development for fraud detection and customer analytics, (b) cloud infrastructure engineering for the card processing platform migration, (c) mobile application development for digital wallet and contactless payment features, (d) cybersecurity research for threat detection and encryption protocols.

2. Four-Part Test Analysis

Each qualified research activity satisfies the IRC Section 41(d) four-part test: (1) Permitted purpose: activities are undertaken to develop new or improved business components (products, processes, techniques, formulas, inventions, or software). (2) Technological uncertainty: activities involve uncertainty regarding capability, methodology, or appropriate design. (3) Process of experimentation: activities involve systematic evaluation of alternatives through modeling, simulation, or testing. (4) Technological in nature: activities rely on principles of engineering, computer science, or physical sciences.

3. QRE Breakdown by Department

Technology Division: \$2.1B (65.6% of total QREs) -- primary contributor across AI/ML, cloud, and platform engineering.
Global Consumer Services: \$485M (15.2%) -- mobile app development, digital wallet features.
Enterprise Risk: \$372M (11.6%) -- fraud detection models, real-time transaction scoring.
Cybersecurity: \$243M (7.6%) -- encryption research, threat intelligence systems.

4. Documentation and Substantiation

Each qualified activity is supported by: project-level technical narratives describing the technological uncertainty and experimentation, time tracking records for personnel performing qualified activities, financial records linking QREs to specific projects, and contemporaneous documentation per Treas. Reg. 1.41-4(d).